

the founder of a company that provided order routing software to market makers, and Joe Vidich was one of his clients. Davidge recalled, “What struck me about Joe when I first met him was that he was an intellectual who was also a trader.” Through this association, Davidge became aware of Vidich’s trading skills, particularly the effective way Vidich combined his longer-term investment themes with his reading of market sentiment in individual names. When Vidich launched his fund years later, Davidge was one of the first investors. After Davidge sold his company, he joined Vidich as a partner in Manalapan.

Vidich combines longer-term investments with short-term trading that provides supplemental returns. For the investment portion of the portfolio, Vidich begins by formulating a big picture of the economy and the stock market. Next, Vidich looks for themes that drive him to sectors and subsectors. As a final step, Vidich does fundamental analysis and observes trading activity to select the best individual stocks within the targeted sectors. Vidich’s timing in entering and exiting these positions is heavily influenced by what he calls his assessment of sentiment—price action relative to events. Vidich or his analysts listen to about 300 conference calls every quarter. The market action following these conference calls can provide Vidich with important clues. For example, if a company reports generally bullish news in its conference call, and the next day the market is up, but the stock is down, Vidich would view this price action as a bearish indicator.

Before starting his fund, Vidich spent a dozen years as a market maker and proprietary trader for various small brokerage firms. Vidich explains that since the order flow from retail investors is heavily long biased, the market maker is by definition a short trader. For every buy order a market maker fills, he has to trade out of the resulting short position. Vidich feels that because of his many years of experience as a market maker, his trading skills are most finely developed on the short side. Even though long-term investment themes and position trades are core to Vidich’s investment approach, he is an extremely active trader. The turnover for the fund is approximately 20X of which about 15X is on the short side. Vidich’s net exposure varies widely, and has ranged between 80 percent net long to 37 percent net short.